

Selling warrants without a hedge seems to be in total contradiction to your desire to minimize risk. What if the market had a large rally?

That is exactly what happened. In 1967 to 1968 there was a large bull market. Small cap stocks were up 84 percent in 1967 and 36 percent in 1968. It was a terrible time to have net short exposure. However, the formula was good enough and the warrants were so overpriced that I still broke even on the naked short positions. The formula really proved itself under the most adverse circumstances. As far as I know, the short warrant positions I implemented during 1967 to 1968 were the first actual application of the Black-Scholes formula in the markets.

When did Black-Scholes publish their formula?

I believe they discovered it in 1969 and published it 1972 or 1973.

Did you consider publishing your formula?

The option-pricing formula seemed to me to be a big edge on everybody else. So I was happy just to use it. By 1969, I had started my first hedge fund, Princeton Newport Partners, and I thought that if I published the formula, I would lose the edge that was helping my investors. I thought the best thing would be to keep quiet and just keep using it. It was like having a card counting system, but not writing a book about it. Once Black and Scholes published their formula, it was too late. I don't have any regrets.

I believe that convertible bond arbitrage was probably the core strategy used by Princeton Newport Partners. Did you come up with innovations to the strategy that you can talk about now?

A convertible bond is a corporate bond that holders can convert into a fixed number of shares at a specified price. In effect, a convertible bond is a combination of a corporate bond and a call option. Because the embedded option has monetary value, convertible bonds will pay lower interest rates than corporate bonds. Convertible arbitrage funds will typically buy convertible bonds and hedge by shorting sufficient stock to neutralize the long exposure implied by the embedded call option (an activity called delta hedging). Originally, the embedded optionality in convertible bonds tended to be underpriced, and convertible arbitrage